Quarterly
Trend Check

2QFY26

Share India
Institutional Business

November 20, 2025

Earnings all set for take-off

After a few quarters of sluggishness, this 2QF26 earnings season finally witnessed some green shots. As per the Earnings Calls of various corporates, GST rate cut is acting as the much-needed catalyst to push the demand momentum, giving a fillip to trends like premiumisation and change in consumption pattern.

Rural demand, which had been dragging for a long time, showed a noticeable bounce. Auto companies, PSU Banks and FMCG names with larger rural exposure all hinted that the rural engine is finally picking up again. Of course, the real test is whether this strength holds in the next couple of quarters.

We also noted corporates hinting at increasing their exports focus beyond the US geography towards Asian and European countries. Also, we are seeing capacity utilisation inching up across several sectors. If this trend continues, it could finally unlock the private capex cycle that companies have been postponing for almost two years.

In BFSI, things looked cleaner this quarter—asset quality improved, slippages eased, and even MSME and Micro Finance portfolios, which had been under pressure for many quarters, showed signs of stabilisation.

Put together, the setup for 2H looks solid: festive demand is strong, the GST cuts are still playing out, capex sentiment is improving, and exports should hold up. It does feel like the earnings cycle have bottomed out, and corporates are expecting growth to pick up meaningfully in the second half of FY26.

We believe 2HFY26 is not just a rebound but it is at an inflection point where the cycle will flip, and earnings will start firing on all cylinders in FY27.

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Premiumisation

Real Estate - Premium/luxury stay ahead

Sales remain strong: Buyers showed up in force, especially for premium homes, leading to strong sales even without big price hikes. Environmental-clearance ruling freed many stuck approvals, more projects could finally hit the market in 2HFY26–FY27.

Stronger brands could fund new sites: As buildings cross key construction milestones and receive occupancy certificates, cash collections rise in 2H. That cash lets the stronger brands fund new sites and deals without leaning on extra debt, keeping risk in check. Expect steady prices, more launches, and continued share gains for the big, trusted developers.

Hospitality - Demand still strong while RevPAR moderates

RevPAR moderation, but demand intact: RevPAR growth slowed on a very high base and due to renovation-led room closures, even as ARRs stayed positive and occupancies only inched down. Managements attribute this to supply/room availability, with corporate, leisure, weddings and inbound demand still strong.

Structural shift from unorganised to branded: Conversion-led signings and asset-light management/franchise deals dominate growth, as standalone hotels plug into brands for distribution, loyalty and financing advantages. This is steadily expanding high-margin fee-based income for listed chains.

Select chains building 400–600+ key flagships: Alongside asset-light expansion, a few players are investing in large-format gateway-city hotels to capture mega weddings and MICE demand, secure scarce land parcels and create brand anchor assets with strong long-term operating leverage.

Alcohol Beverages - Cheers to a strong quarter!

Strong quarter: Alcohol Beverages delivered a robust 2QFY26, with better-run spirits players clocking high-teens to 20%+ earnings growth on a more normalised input-cost base.

Integrated distillers scaling up: Integrated distillers are increasingly sweating their ENA/ethanol assets to move into branded IMFL/IMIL, supporting structural margin expansion.

Premiumisation tailwinds, but beer loses fizz: Premiumisation, coupled with benign grain/ENA, glass and packaging costs, is driving both top-line and margin gains. On the flip side, beer volumes were softer pulled down by the monsoon and some tax related headwinds.

Jewellery Sector - Shines through the quarter

Robust performance: The sector delivered a robust 2Q performance, with most players reporting **15–25% YoY** revenue growth, supported by strong festive and wedding demand, rising studded mix, and premiumisation trends. Companies such as Titan, Kalyan Jewellers, and Senco Gold witnessed expansion in EBITDA margins by 40–120bps, driven by operating leverage, disciplined inventory management, and higher contribution from high-margin product lines.

Consumer adaptation to support volumes: Consumers' adaptation in **lower-weight studded jewellery** with heavy old-gold exchanges (30%-50%) will continue supporting the volumes.

Organised players continue to win share in unorganized segment: With gold prices stabilising at elevated levels and organised players continuing to win share from the unorganised segment, the outlook for 2HFY26 remains strong, aided by the wedding-heavy quarters, deeper regional expansion, and consistent growth in digital-first and omni-channel sales.

Firms aim 10-20%+ growth in 2HFY26: Sustainable double-digit growth visibility is expected in 2HFY26 due to the wedding season. Most management guided 10-20%+ growth. Inventory-led gains will fade, but a higher studded mix, premiumisation, LGD exports and expansion in 18,000 lines to support stable core margins.

Consumption

Auto OEMs - Wave of demand and volume offtake

Customer demand volume offtake: Entire industry saw a wave of customer demand and volume offtake after GST 2.0 marked an important milestone in demand pull and affordability.

Strong exports, rural key pillar for growth: Exports witnessed strong growth momentum with markets in Africa, Middle East and Latin America picking up strongly. Rural demand continues to remain strong and is a key pillar for growth. Inventory levels across dealer network has come down to the lowest during the festive season indicating OEM production might start accelerating in 2H.

SUVs continue to gain momentum: SUVs continue to gain market share along with a pick-up in entry level cars for as buyers used the GST cuts to upgrade to newer/bigger vehicles.

Consumer Durables - Demand revival

RAC: FY26 industry growth guidance is revised lower to flat (-15% YoY) by major brands vs earlier 5-10% growth YoY. Demand headwinds and high base of LY leads to downward revision of the guidance. The RAC industry outlook seems bleak for 2H and likely to revive based on the summer in 2026.

Kitchen appliances: Demand revival seen in 2QFY26 as major companies posted strong double-digit revenue growth after prolonged lull. Festive-season based and GST cut led demand boost propelled the revenue growth YoY. We believe the trend is set to accelerate in the coming quarters led by improved demand and lower base.

EMS: Strong industry growth rate sustains in 1HFY26 and is expected to remain buoyant for the rest of FY26, as per management commentaries. While domestic market continues to remain robust, the export market is also witnessing demand revival.

Textiles and Apparel - Mixed trends

Mixed bag: The textile and apparel industry showed mixed trends characterized by strong domestic demand and significant profit growth for several companies, contrasted by pressures on export-oriented firms due to global trade complexities and US tariffs.

Export growth: Some export oriented companies were able to outperform export growth due to a diversified manufacturing base across different geographies.

Gross margins improve: Gross margin improvement is seen due to declining cotton prices and better sales mix.

Capex

Auto Ancillaries - Market share gains

GST reduction to enable market share gains: Majority of products have witnessed GST reduction from 28% to 18% which will enable market share gains in the aftermarket segment by making it more competitive against unorganized market.

Firms upgrade revenue guidance: Companies have revised revenue growth guidance upwards for FY26 on-the-back of strong growth momentum across OEMs.

Capex guidance revised upward: Also capex guidance has been revised upward as companies expect current capacities to fall short to meet the growing demand.

Transformers - Clean quality upcycle

Revenue growth with visible margin expansion: Most core players posted **~20–40% YoY revenue growth with visible margin expansion,** driven by operating leverage and a move away from commoditised distribution transformers. Order books provide **~2–3 years of revenue visibility**, and most managements are in **capacity-add/debottlenecking mode**, with new MVA largely

Shift to higher-voltage, solution-led products: Growth is being led by **220kV+, HVDC, GIS and export-heavy portfolios,** indicating a structural shift towards more complex, solution-oriented offerings rather than plain vanilla DTRs.

Strategic pivot towards HVDC and higher-voltage transformers: E**xpansion of design and manufacturing capabilities in HVDC and higher-voltage transformers** to address **long-distance RE corridors, cross-border links and submarine/underground lines**, where HVDC offers **lower losses, better controllability and richer margins** in a market with **fewer qualified vendors.**

Banks & NBFC - NIIs stay decent, banks and NBFCs record good growth

Profit growth backed by improved asset quality: The quarter has seen decent growth in NII but the profitability of Banks and NBFC's has shown good growth driven by improvement in asset quality and reduction in slippages. PSU banks have performed better than the private banks.

Better 2HFY26 driven by credit growth pick up: The sector expects better 2HFY26 as it expects credit growth to pick up after GST rate rationalization. Sector believes that NIMs have bottomed out and should improve 3Q onwards if there is no further rate cut by RBI.

Cement – Volume-led growth

Volume-led growth with cost discipline and premium mix driving margins: Growth is now more volume-led than price-led, with margin gains coming from cost work, operating leverage and product mix rather than aggressive price hikes. While lower power, fuel and freight costs provide a tailwind, the real differentiator is execution—players who can push premium/trade sales, improve utilisation and optimise logistics will structurally earn higher EBITDA/ton

Heavy capex cycle, rising leverage and an oversupplied medium term: Cement is in a heavy capex phase: sector net debt rose ~₹132bn in 1HFY26 (ND/EBITDA up from 0.60x to 0.84x), with >175MTPA of new capacity planned over FY25–28E against ~100MT of estimated demand. With supply likely outpacing demand and leaders like UltraTech/Ambuja chasing volume and share rather than price, competition should stay intense and large, sustained price hikes look unlikely.

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